

Business context:

The organization we identify compliance relevant texts for is an Australian bank with an annual turnover of over \$3 million.

The process overview:

Know Your Customer (KYC) regulations for individuals add identity checks to banks' customer onboarding processes. The KYC process is not fully automated, so it adds to bank employees' casework, making it one more thing to manage.

In the process of creating a new bank account, personal information and documents are gathered from the individual customer, and the name and further personal information are validated through various checks and confirmations. The customer's name is also checked against a Politically Exposed Persons (PEP) database to ensure they are not high-risk individuals, and any suspicious activity is flagged for further investigation. The new customer is manually reviewed following a set of guidelines for acceptability and risk level before being onboarded, and assistance is provided in navigating their account and accessing relevant products and services.

Following are the descriptions for the tasks and throwing events (e.g. 1.1) and the subprocess they are in (e.g. 1).

1. Create new account: To create a new account, the required personal information and documents are gathered from the customer and entered into the bank's account opening system, and a unique account number is generated to identify the account in the bank's systems.

1.1 Gather required information: Collect all the necessary personal information and documents from the customer, such as their name, address, and identification.

1.2 Enter information into the system: Enter the customer's information into the bank's account opening system, ensuring that all fields are accurately filled out and any required documentation is uploaded.

1.3 Generate account number: Create a unique account number for the new customer, which will be used to identify their account in the bank's systems.

2. Validate identity: A customer's identity is validated by verifying their full name and depending on country specific requirements further personal information like citizenship, residential address or date of birth. The verification should be based on documentation or reliable and independent electronic data. The details provided by the customer are confirmed through customer contact.

2.1 Verify name: Verify the customer's full name using a government-issued identification document, such as a passport or driver's license or reliable and independent electronic data.

2.2 Verify personal information: Verify the customer's required personal information like citizenship, residential address, date of birth with reliable documentation or an independent electronic data source.

2.3 Confirm details with customer: Contact the customer to confirm that the information provided is accurate and up to date.

3. Check special identity circumstances: A customer's identity is checked against a Politically Exposed Persons (PEP) as well as an independent database to ensure that they do not require special treatment. Any potential matches are flagged for further investigation by the appropriate department.

3.1 Check for Politically Exposed Person (PEP) status: Check the customer's name against a Politically Exposed Persons (PEP) database to ensure they are not a high-risk individual.

3.2 Check for independent database status: Check the customer's name against an independent database to ensure they are not on any watchlists.

3.3 Flag any potential matches: If a potential match is found, escalate the case to the appropriate department for further investigation.

4. Verify account: To verify an account, the accuracy of the customer's account details such as account number and routing number is confirmed, and the source of funds for the new account is verified to ensure compliance with relevant laws and regulations, while any

suspicious activity detected is flagged for further investigation by the appropriate department.

4.1 Verify account details: Verify that the customer's account details, such as account number and routing number, are accurate.

4.2 Confirm funding source: Confirm the source of funds for the new account, ensuring that they are legitimate and comply with relevant laws and regulations.

4.3 Flag any suspicious activity: If any suspicious activity is detected during the verification process, escalate the case to the appropriate department for further investigation.

5. Manually review new customer: To manually review a new customer, a thorough review of the customer's information and history, including their financial history, is conducted to ensure they are an acceptable customer, while their potential risk level is evaluated based on factors such as their occupation, source of funds, and transaction history.

5.1 Conduct due diligence: Conduct a thorough review of the customer's information and history, including their financial history, to ensure that they are an acceptable customer.

5.2 Assess risk: Evaluate the customer's potential risk level based on factors such as their occupation, source of funds, and transaction history.

6. Onboard new customer: To onboard a new customer, their account is created in the bank's system, relevant agreements and disclosures are signed, and the features and benefits of the customer's specific account type, such as interest rates and fees, are explained to them.

6.1 Create account: Set up the customer's account in the bank's system, including any necessary product or service subscriptions.

6.2 Sign agreements: Have the customer sign relevant agreements and disclosures, such as the bank's terms and conditions and privacy policy.

6.3 Explain account features: Explain the features and benefits of the customer's specific account type, such as interest rates and fees.

7. Welcome new customer: To welcome a new customer, an overview of the bank's products and services that may be of interest to the customer based on their profile is provided, while assistance is offered to the customer in navigating their account, including setting up online banking, setting up alerts, and addressing any questions or concerns they may have.

7.1 Introduce bank products: Provide an overview of the bank's products and services that may be of interest to the customer based on their profile.

7.2 Provide support: Offer assistance to the customer in navigating their account, including setting up online banking, setting up alerts, and addressing any questions or concerns they may have.